

SWEDEN 2016

Table of Contents

1. Overview of the tax-benefit system	1
2. Unemployment insurance	2
3. Unemployment assistance	5
4. Social assistance	7
5. Housing benefits for rented accommodation.....	10
6. Family benefits	13
7. Childcare for pre-school children average 2013.....	15
8. Employment-conditional benefits.....	17
9. Lone-parent benefits	18
10. Disability benefits	19
11. Tax system	20
12. Part-time work.....	24
13. Policy developments	24
Social security contributions to general government	26
Social security contributions paid to institutions outside general government	26
Payroll taxes.....	26

1. Overview of the tax-benefit system

Sweden has an unemployment insurance consisting of a basic assistance scheme and a voluntary income related scheme for those who are members of an Unemployment Insurance Society. These Societies are closely linked to the trade unions. It is possible to join an Insurance Society without being a member of the trade union or employers organisation. The fee is then slightly higher for the extra cost of administration. There is also a special Unemployment Insurance Society for those who do not want to be members of a trade union. Self-employed can also be insured. The basic assistance is intended for those who are not members of an Unemployment Insurance Society or do not fulfil the employment criteria.

Those with low income from work, unemployment benefit or any other kind of social security transfer income can claim an income tested housing benefit. This benefit is intended for a family with dependent children, but is also open for low-income households beneath the age of 29. For those with neither income nor assets, social assistance can be claimed as the last resort.

1.1. Average Worker wage (AW)

The tax unit is the individual, spouses are taxed separately.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The national currency is the Swedish Kronor (SEK). In 2016, SEK 8.56 was equal to USD 1. In that year, the average worker earned SEK 423 065 (Secretariat estimate).

2. Unemployment insurance

Income related unemployment insurance is voluntary and presupposes membership of an Unemployment Insurance Society.

Payment rate is independent of age. Duration depends from 2007 on family conditions. Duration is 300 days unless you have dependent children, in which case duration is 450 days.

Program name in local language		Inkomstbortfallsförsäkring
Insurance is voluntary(V) or compulsory(C) for employees		V
Employment record (E) and contribution (C) conditions		E: 6 in last 12 months; C: member of insurance fund in last 12 months
Waiting period (days)		7
Maximum duration (months)		300 days
Upgrading mechanism of the benefit		Adjustments are depending on parliamentary decisions
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	Until day 200: 80%
	benefit at the end of legal entitlement period in % of calculation base	From day 201: 70%
	Calculation base	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	Benefit reduced in proportion to days worked
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	E: + 450 days maximum duration with children G: + minimum and maximum benefit more generous for families with children
	contract type	0
	other	E: - maximum duration of 75 days for formerly part-time employed

2.1 Conditions for receipt

The recipient must be fit for work and available to work at least 3 hours per day and on average at least 17 hours per week.

If the job loss is voluntary there is a 45 day waiting period before benefits are paid.

The unemployed has to do an active job-search to be entitled to benefits.

2.1.1 *Employment conditions*

To fulfil the employment condition a recipient must have worked at least 6 months (with at least 80 hours per month) during the last 12 months. A recipient can also work 480 hours during a continuous period of six months (with at least 50 hours work every month). In both cases, if necessary, two months can be replaced by time with parental leave or compulsory military service.

The twelve months mentioned above can be extended due to illness, full time studies, parental leave and compulsory military service.

2.1.2 *Contribution conditions*

An employee or a self-employed person must have been a member of an Unemployment Insurance Society for the last 12 months. The trade union members pay a fee to the Unemployment Insurance Society through the monthly collection of union fees. There is also a possibility to pay directly to one of the 27 occupational Unemployment Insurance Societies or to a special 28th Society, which is not related to any trade union or employer's organisation.

Between 2007 there was a new co-financing fee. Each employee had to pay an additional SEK 150–300 each month to contribute to the financing of the Unemployment Insurance. The co-financing fee was lowered in 2008 as a result of lower unemployment and there was a reduction in the fee of SEK 50 from July^{1st} 2009. Due to the increasing unemployment and that members abandoned the trade unions, many of the Unemployment Insurance Societies have increased the co-financing fee in 2009 and 2010. This increase usually did not involve the white-collar societies. The fee was lowered in 2011 and 2012 depending on the trade union. The fee was increased in some unions and decreased in others in 2013. The fee was in 2013 between 0 and SEK 330 depending on what union. The co-financing fee was removed in 2014. The membership fees in 2014 and 2015 were between 85 and 160 SEK and between 85 and 145 in 2016.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Gross replacement rate is 80 per cent of previous earnings for 200 days and then 70 per cent for the next 100 days. The maximum daily benefit is SEK 910 (yearly equivalent SEK 236 600). The minimum daily benefit is SEK 365 (yearly equivalent SEK 94 900).

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

The benefit is reduced in proportion of the number of days worked. Family and housing benefits can be paid in addition. There are no special family benefits. They are part of the housing benefit system.

2.3 *Tax treatment of benefit and interaction with other benefits*

The benefit is taxable.

2.4 *Benefit duration and waiting periods*

Payable on a 5-day week basis, for a maximum of 300 days or 60 weeks, after a 7-day waiting period. The days on which benefits are received may be broken by a period of employment. If the employment proves not to be durable, the unemployed may return to the insurance period that has been awarded. If the recipient does not have a job when the benefit duration has ended, there should be an offer to take part in a labour market policy program (activity guarantee) or the job and development guarantee.

The job and development guarantee participants receive 65% of previous earnings with limits (The maximum daily benefit is SEK 760, the minimum is SEK 365. The duration of the program is maximum 450 days.

Part-time unemployed can receive unemployment benefit for 75 days.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None

2.5.2 *Older workers*

None

2.5.3 *Others if applicable, including disabled*

3. Unemployment assistance

The basic unemployment insurance can be called assistance. It is aimed mainly at those not insured or insured not long enough, but meet the employment conditions. It is available from the age of 20.

Program name in local language		...
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		E: at least 6 months (with at least 80 hours per month) in last 12, or 480 hours in 6 continuous months (with at least 50 hours per month) C: member of insurance fund in last 12 months
Waiting period (days)		7
Maximum duration (months)		300 days
Upgrading mechanism of the benefit		Adjustments are depending on parliamentary decisions
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	Flat rate
	benefit at the end of legal entitlement period in % of calculation base	Flat rate
	Calculation base(1)	n.a.
	Permitted employment and disregards when receiving unemployment assistance benefit	No, benefit not paid for days worked.
Benefit provision (eligibility (E), generosity (G)) varies with	age	E: - not available for <20 year olds
	family situation	E: + 450 days maximum duration with children
	contract type	0
	other	G: - benefit proportionally lower for formerly part-time employed

3.1 Conditions for receipt

The applicant must be fit for work and must be able to take a suitable job for at least 3 hours per day and an average of 17 hours per week. The same conditions as for Unemployment insurance.

3.1.1 Employment conditions

The same as the income related insurance from 1998.

3.1.2 Contribution conditions

None

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The benefit is a daily flat rate of SEK 365 (yearly equivalent of SEK 94 900) after full time work. Proportionally lower after part time work. In the part-time work case, the reduction is a factor between 0 and 1. When you work 4 days in a week, the factor is 0.80.

3.2.1.1 Irregular additional payments

None

3.2.1.2 Obligations of family members

Each family member is treated separately as concerns Unemployment insurance. The unemployed has to widen the job-search to other occupations and to other regions from the first day. Earlier the unemployed could wait 100 days to widen the job-search. This might influence the spouse and family situation if there is possible to find a job at a different location.

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

The benefit is not paid for days worked. Benefit days must not be consecutive. Housing benefits can be paid in addition.

3.3 Tax treatment of benefit and interaction with other benefits

It is taxable.

3.4 Benefit duration and waiting periods

It is payable on a 5-day week basis, for a maximum of 300 days. Duration is 450 days when there are dependent children. There is a 7-day waiting period when based on employment condition. After expiration of the days, the unemployed are submitted to labour market policy programs and the job and development guarantee.

3.5 Treatment of particular groups

3.5.1 Young persons

Not available for persons aged 18–19.

3.5.2 Older workers

Unemployment benefit is given until the unemployed turns 65 years. It is though possible to continue to work if you are over 65 years.

3.5.3 Others if applicable, including disabled

4. Social assistance

The cash social assistance programme is the Social Welfare Allowance, which is municipally administered. The programme is supposed to give temporary relief, when there are no other means of economic support.

Program name in local language		Ekonomiskt bistånd
Minimum age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed(2)	Yes
	Participation in integration measures	Yes
	Active job search(2)	Yes
	Work requirement(2)	Yes
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	Each family member has to be active in supporting him/herself
Determination of benefit levels		National
Uprating mechanism of the benefit		...
Other supplements to basic benefit (per family)		Rent fully covered
Means-test for social assistance	Earnings disregards	No
	Benefit withdrawal rate with regard to earned income	100% in first six months 75% after six months
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment insurance and assistance benefits, family and lone parent benefits
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + child rates increase with age
	family situation	G: + below proportional for each family member
	over time	G: + benefit reduced by 75% of net income after 6 months
	other	n.a.

4.1 *Conditions for receipt*

Social assistance is an income and assets-tested benefit, based on the obligation to exhaust all other means of support, and to be actively seeking employment. Social assistance is, according to the legislation, a right to a certain standard of living if no other means of income can be obtained.

Topping-up net incomes that fall below this standard is usually not possible. The claimant of social assistance has to claim all government financed allowances before coming to the municipally assistance. About 5,6 % of the households have social assistance for one month or more in 2015.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The National Board of Health and Welfare (NBHW) is responsible for a national guideline norm for social assistance. The norm is calculated annually and has an individual part that depends on the marital status and the age of the child and a household part that depends on the size of the household. For 2014 the norm is as shown in the table below.

Family type	Rates at NBHW norms (SEK per month)	Household rate based on number of family members	
Single	2 950	1 person	940
		2 people	1 050
Married couple / Cohabitants	5 320	3 people	1 320
Child <1 year	1 840	4 people	1 500
1-2 years	2 080	5 people	1 720
3 years	1 830	6 people	1 960
4-6 years	2 080	7 people	2 130
7-10 years	2 660		
11-14 years	3 090		
15-18 years	3 500		
19-20 years	3 530		

4.2.1.1 *Irregular additional payments*

4.2.1.2 *Obligations of family members*

Each family member has to be active in supporting himself.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Maximum assistance benefit is reduced with 75 per cent of net income for those who have had assistance benefit for more than 6 months. For those less than six months the assistance benefit is reduced with 100 per cent. Net income is defined as earned and taxable social security income after income tax and

social security contribution and including housing benefit, family allowance and maintenance advance that are not taxed.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

Social assistance is a support that guarantee all residents a reasonable standard of living defined by a norm. Social assistance is often a supplementary amount. It can therefore interact with other benefits. In that case the amount from other benefits are discounted from the social assistance.

4.4 *Benefit duration and waiting periods*

Indefinite, as long as the conditions for receipt are met. Most people on social assistance need less than a year and the average is 6,4 months.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

No specific minimum age.

4.5.2 *Older workers*

There is a special support (Äldreförsörjningsstöd), for retired people, mostly with immigrant background, who have been in Sweden not long enough to get a full pension. This support is aimed at keeping them off the social assistance.

4.5.3 *Others if applicable, including disabled*

Newly arrived in Sweden can get establishment benefit. The benefit can be received when drawing up and carrying out an establishment plan. An introduction plan contains activities to support the person to quickly learn Swedish, find work and support themselves. If the plan contains full-time activities the benefit is SEK 308 per day. If it is a part-time plan the benefit is reduced proportionally. Those who have children younger than 11 years can get a supplementary benefit of SEK 800 per child and month. Older children entitles to a benefit of SEK 1 500. Supplementary benefit can be received for a maximum of three children. Single household without children may also apply for supplementary benefit up to SEK 3 900 for housing while households with children may apply for housing benefits for rented accommodation.

5. Housing benefits

People who own their accomodation may get the benefit if they have low income.

Housing assistance exists in three main forms:

- The income-tested housing allowance, it varies according to age for young people without children, the income, the housing cost, and the number of children.
- Rent is fully covered for social assistance claimants, as a supplement to the housing allowance.
- An income-tested housing supplement (BTP and SBTP (*särskild bostadstillägg för pensionärer*)) exists for pensioners (outside the scope of this study).

Regular housing benefits	Program name in local language		...
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	No
		Actual rental cost	Yes
	Description of regular housing benefit		Total housing costs are divided in brackets; 50 to 90 per cent per bracket is added to a flat rate benefit. Benefit rate also depends on age
	Uprating mechanism of the benefit		...
Housing related support through other benefits		Rent fully covered for social assistance recipients	

5.1 Conditions for receipt

Households with low income and children or young households below age 29 with no children and low income. Most recipients are single parents. About two thirds of the persons with housing benefits below age 29 are students. High marginal effects.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Total housing costs are divided in brackets; 50 to 90 per cent per bracket is added to a flat benefit. The size of each bracket and the flat benefit rate depend on age and family situation (see table). The benefit is calculated on a monthly basis according to the expected income during the calendar year but the benefit received during a year is provisional and will be checked against the final income assessment. Capital income is also considered. Housing benefit may not exceed housing costs. Monthly benefits of less than SEK 100 are not paid.

Family	Housing costs	Housing benefit (HB1)
--------	---------------	-----------------------

composition	(HC) (SEK per month)	(before income-test)
Age < 29,	0 – 1 800	0
with no child	1 800 – 2 600	90% of (HC – 1 800)
	2 600 – 3 600	90% of (2 600 – 1 800) + 65% (HC – 2 600)
	3 600 +	90% of (2 600 – 1 800) + 65% (3 600 – 2 600)
Families:		
with 1 child	0 – 1 400	1 500
	1 400 – 3 000	1 500 + 50% of (HC – 1 400)
	3 000 – 5 300	1 500 + 50% of (3 000 – 1 400) + 50% of (HC – 3 000)
	5 300 +	1 500 + 50% of (3 000 – 1 400) + 50% of (5 300 – 3 000)
with 2 children	0 – 1 400	2 000
	1 400 – 3 300	2 000 + 50% of (HC – 1 400)
	3 300 – 5 900	2 000 + 50% of (3 300 – 1 400) + 50% (HC – 3 300)
	5 900 +	2 000 + 50% of (3 300 – 1 400) + 50% (5 900 – 3 300)
with 3 children	0 – 1 400	2 350
	1 400 – 3 600	2 350 + 50% of (HC – 1 400)
	3 600 – 6 600	2 350 + 50% of (3 600 – 1 400) + 50% of (HC – 3 600)
	6 600 +	2 350 + 50% of (3 600 – 1 400) + 50% of (6 600 – 3 600)

5.2.2 *Income and earnings disregards*

The housing benefit is income-tested. Reduction rates and disregards depend on age and family situation:

Family composition	Gross income limit for the means-test (SEK per month)	Subsidy rate for the means-test (%)	Housing benefit, including the income-test (GI = gross income)
Single < 29, with no children	3 417	33	HB1–33% (GI–3 417)
Lone parents	9 750	20	HB1–20% (GI–9 750)
Families <29 with no children	4 833	33	HB1–33% (GI–4 833)
Families with 1 or more children	4 875/partner*	20	HB1–20% (GI(M)–4 875)–20%(GI(F)–4 875)

* The partner with no income is not entitled to any housing benefit since 1995.

5.2.3 *Costs eligible for housing benefits*

Maximum costs are illustrated in table in part 5.2.1

5.3 *Tax treatment of benefit and interaction with other benefits*

Housing benefit is not taxable.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.4 *Treatment of particular groups*

None

5.4.1 *Young persons*

5.4.2 *Older workers*

Senior citizens have their own system for housing benefits, (BTP (bostadstillägg för pensionärer and SBTP (*särskild bostadstillägg för pensionärer*)). It is possible to have an income of 24 000 SEK per year and still get full housing benefit. However the benefit will quickly be reduced when the income increases over 24 000 SEK.

5.4.3 *Others if applicable, including disabled*

There are two forms of housing supplement (*bostadstillägg and särskilt bostadstillägg*) for those receiving sickness/activity compensation that have low household income. [See 10.3]

6. Family benefits

A monthly amount to all children registered in Sweden. There is also a parents' insurance to compensate for income reduction when children are born and sick.

Program name (local name in parentheses if available)			Family benefit
Type of benefit			Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		15 (19)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No
Up-rating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	+
	Earnings disregard		n.a.
	Withdrawal rate		n.a.
	Assets part of means test?		n.a.

6.1 Conditions for receipt

Each child below 16 (or until June the year the youngster become 20 years and is still at school) qualifies the family for child benefit.

6.2 Calculation of benefit amount**6.2.1 Calculation of gross benefit**

The annual amount for child allowance (*barnbidrag*) is SEK 12 600 per child (SEK 1 050 per month), with a supplement of SEK 1 800 for the second child, SEK 5 448 for the third child, SEK 12 120 for the fourth child, and SEK 15 000 for the fifth and each subsequent child.

6.2.1.1 Irregular additional payments

No

6.2.2 Income and earnings disregards

Family benefit is not subject to any means test.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.3 *Tax treatment of benefit and interaction with other benefits*

Child benefit is not taxable. Insurance to compensate for income reduction when children are born or sick is taxable.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

Students receiving study allowance can get an extra contribution if they have children. The amount is SEK 146, 239, 287, 335 and 383 per week for 1, 2, 3, 4 and 5 children.

7. Childcare for pre-school children average 2016

- Age 1 48%
- Age 2 88%
- Age 3 92%
- Age 4 94%
- Age 5 94%
- Age 6 1,2%
- Age 7 0,6%

Compulsory schooling starts at age 7, but there is possible to start at age 6 and this age-group does often have special classes (Grade 0).

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

Child-care is heavily subsidised by state and local governments. For the first pre-school child the fee is 3 per cent of the gross income (earned income plus unemployment benefits), for the second child the fee is 2 per cent and 1 per cent for the third child. There is a monthly cap of SEK 1 313, 875 and 438 for the 1st, 2nd and 3rd child respectively. With a yearly household income above SEK 525 100 there is no marginal effect and no extra fee. For school-children the percentages are 2, 1 and 1 respectively. The order of the child is according to the need of day-care – mostly the youngest are number one.

Childcare fees are not tax deductible.

Childcare fees are taken into account when determining entitlement to benefits such as social assistance.

Part-time childcare

Children to parents on parental leave (with a new baby) and children to parents that are unemployed have a right to at least 15 hours a week of childcare. These hours are cheaper than the ordinary fee. The local community can subsidize more than 15 hours a week and there is a variety of solutions according to the 290 communities. The fee is lower for part-time childcare than for fulltime. To pay the part-time fee the child can spend at most 30 hours per week at the preschool. For the first child the fee is 2 per cent of the gross income for the second and third child the fee is 1 per cent and 1 per cent. There is a monthly cap of SEK 875 for the first and 438 for the second and third child.

For children aged 3-6 there is general pre-school (allmän förskola). This means that 15 hours a week for 35 weeks (525 hours a year) there is supposed to be a special pedagogy and these hours are free of cost for the child.

7.2 Child-care benefits for formal centre-based care

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- 7.2.2.2 Income and earnings disregards
- 7.2.3 *Tax treatment of benefit and interaction with other benefits*
- 7.2.4 *Treatment of particular groups, including disabled*
- 7.3 ***Child care allowance for children not using child care centers***

8. Employment-conditional benefits

See Earned Income Tax Credit section 11.1.1.2

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

9. Lone-parent benefits

This is a separate benefit the absent parent is supposed to pay. If the absent parent pays directly to the lone parent, then the state is not involved. If not, the state advances the money and then demand the absent parent to pay it in full or in part. This system of repayment has been enforced and more responsibility is put on absent parents to pay a larger share of the cost.

Program name (local name in parentheses if available)			Alimony advance payment
Type of benefit			Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		15 (19)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Absent parent does not pay alimony
Uprating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	++
	Earnings disregard		n.a.
	Withdrawal rate		n.a.
	Assets part of means test?		n.a.

9.1 Conditions for receipt

Each child below 16 (or until June the year the youngster becomes 20 years and is still at school) from a lone-parent family qualifies.

9.2 Calculation of benefit amount**9.2.1 Calculation of gross benefit**

The monthly amount is SEK 1 573 per child, that is SEK 18 876 yearly.

9.2.1.1 Irregular additional payments**9.2.2 Income and earnings disregards**

Not subject to any means test.

9.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.4 ***Benefit duration***

9.5 ***Treatment of particular group***

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable, including disabled*

11. Tax system**11.1 Income tax****11.1.1 Tax allowances and credits****11.1.1.1 Standard allowances**

Basic reliefs: A basic allowance is given for assessed earned income and varies between SEK 13 000 and SEK 34 200 for persons 65 years or younger, depending on income. When individuals pay central government income tax, the basic allowance is at its lowest level, which equals SEK 13 000. The basic allowance depends on the assessed earned income and the basic amount, which equals SEK 44 300 in 2016.

Basic allowance for persons aged 65 or less

Assessed-Earned- Income (SEK) Relative to Basic Amount (BA)	Share of BA at lower bracket	For exceeding income
0 – 0.99	0.423	
0.99 – 2.72	0.423	+0.2
2.72 – 3.11	0.77	
3.11 – 7.88	0.77	-0.1
7.88 –	0.293	

BA = SEK 44 300 2016

For persons 65 years and older the basic allowance is higher, see table below. The basic allowance for persons 65 years and older varies in 2016 between SEK 31 700 and SEK 67 000, depending on income. It is SEK 39 000 when individuals start paying central government income tax.

Basic allowance for persons aged over 65

Assessed-Earned- Income (SEK) Relative to Basic Amount (BA)	Share of BA at lower bracket	For exceeding income
0 – 1.11	1,11	
1.11 – 2.72	1.11	+0.249
2.72 – 3.77	1.511	
3.77 – 5.40	1.511	-0,1
5.40 – 12.43	1.348	-0.09
12.43 –	0.715	

- Standard marital status reliefs: None.
- Relief(s) for children: None.
- Work-related expenses: None.
- Other: None.

11.1.1.2 Standard tax credits

A tax credit equal to 100 per cent of the compulsory social security contributions paid by the employee is granted.

For a person aged under 65, an annual Earned Income Tax Credit (EITC) worth up to SEK 26 471 at the average local tax rate is granted on labour income. For those aged over 65, a higher credit worth up to

SEK 30 000 is granted. For a person aged 65 or less the EITC is connected to the basic allowance (BAL), the basic amount (BA) and the local tax rate (LTR). For those older than 65 a simplified EITC was introduced in 2009 so that it is no longer connected to the local tax rate, the basic allowance or the basic amount. The Basic Allowance is determined in Section 11.1.1.1; the local tax rate is discussed in Section 11.1.3. The Basic Amount (BA) in 2016 is SEK 44 300. The Special Amount is based on the taxpayer's (gross) earned income. A phase-out of the EITC for those with incomes above around SEK 600 000 a year was introduced in 2016.

For taxpayers younger than 65, the EITC is calculated as follows:

Earned Income (EI)	EITC
– 0.91 BA	$(EI - BAL) * LTR$
0.91 BA – 2.94 BA	$(0.91 BA + 0.332 * (EI - 0.91 BA) - BAL) * LTR$
2.94 BA – 8.08 BA	$(1.584 BA + 0.111 * (EI - 2.94 BA) - BAL) * LTR$
8.08 BA – 13.54 BA	$(2.155 BA - BAL) * LTR$
13.54 BA –	$(2.155 BA - BAL) * LTR - 0.03 * (EI - 13.54 BA)$

BA = SEK 44 300 (2016) ; BAL=Basic allowance, determined in Section 1.121.; LTR=local tax rate. Note that the EITC cannot be negative.

For taxpayers older than 65, the EITC is calculated differently:

Earned Income (EI)	EITC
– 100 000 SEK	$0.2 * EI$
100 001 – 300 000 SEK	$15\,000 \text{ SEK} + 0.05 * EI$
300 001 – 600 000 SEK	30 000 SEK
600 001 – 1 600 000 SEK	$30\,000 - 0.03 * (EI - 600\,000)$
1 600 001 –	0

11.1.2 *Income tax schedule (central government income tax)*

Taxable Income (SEK)	Tax (SEK) at lower bracket	For exceeding income, %
0 – 430 200	0	0
430 200– 625 800	0	20
Over 625 800	39 120	25

11.1.3 *State and local income taxes*

Sweden has both a central government and a local government personal income tax. They are completely coordinated in the assessment process and refer to the same period, *i.e.* the income year coincides with the calendar year.

The tax base is the same as for the central government income tax. The basic allowance for individuals younger than 65 years paying local government tax varies between SEK 13 000 and SEK 34 200 (2016); it depends on the taxpayer's income. For a taxpayer earning the AW, this basic allowance amounts to SEK 13 000 (based on an AW equal to SEK 418 107 - subject to revision with the AW).

The local government personal income tax is proportional and differs between municipalities. The average rate amounts to 32.10 per cent in 2016, with the maximum and minimum rates being 35.11 per cent and 29.19 per cent, respectively.

A 0.22% contribution is made towards funeral fees, this is included in the total local tax payable in the models.

11.2 Treatment of family income

Spouses are taxed separately.

11.3 Social security contributions and payroll taxes

11.3.1 Contributions payable by employees and benefit recipients

A general pension contribution of 7 per cent of personal income is paid by employees and the self-employed when income is equal to or greater than 42.3 per cent of the basic amount underlying the basic allowance (see Section 1.121). The contribution cannot exceed SEK 33 500 since the general pension contributions are not paid for income over SEK 478 551 (=8.07*59 300). The employees' contribution is offset with a tax credit.

11.3.2 Contributions payable by employers

The employers' contributions are calculated as a percentage of the total sum of salaries and benefits in a year. For the self-employed, the base is net business income. The rates for 2016 are listed below.

Program	Employer (%)	Self-employed (%)
Retirement pension	10.21	10.21
Survivor's pension	1.17	1.17
Parental insurance	2.60	2.60
Health insurance	4.85	4.94
Labour market	2.64	0.10
Occupational health	0.30	0.30
General wage tax	9.65	9.65
Total	31.42	28.97

In certain regions, a reduction of 10 percentage points of the social security contributions, maximum SEK 7 100 per month, is granted (SEK 18 000 per year for self-employed) (it is not included in the tax-benefit model calculations). The SSC rate for employees under 26 years old was reduced to the rate of 25.46 per cent (23.69 per cent for self-employed until 1 June 2016. For employees who are over 65 years old and born after 1937 only the retirement pension contribution (10.21 per cent) is applicable. For persons born in 1937 or earlier no employers' social security contributions are applied. For individuals working

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

with research and development in private sector a reduction of 10 per cent of the base is granted, maximum 230 000 SEK per business group and month.

11.3.3 *Payroll taxes*

Payroll tax is paid on premiums for occupational pensions paid by the employer. The tax rate is 24.26 per cent. There is also a payroll tax (special wage tax, 6.15 %) for employees who are over 65 years old.

11.4 ***Treatment of particular group***

11.4.1 *Young persons*

There were previous reductions on Social security contributions for young persons but these were abolished during 2016. The SSC rate for employees under 26 years old was reduced to the rate of 25.46 per cent (23.69 per cent for self-employed until 1 June 2016).

11.4.2 *Older workers*

For employees who are over 65 years old and born after 1937 only the retirement pension contribution (10.21 per cent) and a payroll tax (special wage tax, 6.15 %) is applicable. For persons born in 1937 or earlier no employers' social security contributions are applied, only the payroll tax (special wage tax, 6.15 %).

11.4.3 *Others if applicable*

12. Part-time work

12.1 *Special benefit rules for part-time work*

12.2 *Special tax and social security contribution rules for part-time work*

13. Policy developments

13.1 *Policy changes introduced: 2nd July 2015 – 1st July 2016*

The reduction in the SSC rate for younger employees was changed and abolished on 1 June 2016.

Since the 1st of January 2016 there is a payroll tax rate (special wage tax) of 6.15 per cent on all compensation for work for people older than 65.

Since the 1st of January 2016 the EITC is phased out for labour incomes over around SEK 600 000 a year.

The upward adjustment of the lower tax bracket for the central government income tax was less than under present regulation in 2016.

Since 1st of January 2016 the tax deduction for housing and repairs is lowered from 50 per cent of labour costs to 30 per cent of labour costs. The limit for tax deductions on household services was decreased at the same time from SEK 50 000 to 25 000 for those younger than 65 years old.

Since 1st of January 2016 deduction for retirement savings was abolished.

Since 1st of January 2016 the basic allowance for elderly was increased.

Since 1st of January 2016 the basic level of parental benefit is increased by SEK 25 to 250.

Since 1st of January 2016 the equality bonus for parents is removed. The bonus for parents will however be paid during 2016 but not from the 1st of January 2017.

Since 1st of January 2016 The child part of income support will be increased by SEK 100 for children 0–6 years and SEK 250 for children 7–18 years.

Since 1st of January 2016 higher standard for a reasonable standard of living of the maintenance support.

Since 1st of January 2016 the vouchers for recreation for children receiving social assistance is removed.

Since 1st of February 2016 the child care allowance for children not using child care centers is abolished.

Since 1st of January 2016 introduction benefit in connection with work is abolished.

Since 7th of September 2015 increased unemployment benefit.

Since 1st of October 2015 higher replacement rate of sickness and activity compensation.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Since 1st of September 2015 higher housing benefit for seniors (replacement rate is increased from 93 to 95 percent).

Since 30th of September 2015 maintenance support increased by SEK 300 to 1 573.

13.2 *Future policy changes introduced or announced since 1st July 2016*

For 2017 the upward adjustment of the tax brackets for the central government income tax will be less than under present regulation. With the budget proposal for 2017 it was further announced that the upward adjustment of both the lower and higher bracket will be smaller also for 2018.

From 2017 the threshold for allowances for travel expenses is proposed to increase from SEK 10 000 to 11 000.

From 2017 higher housing benefits are proposed for those with sickness/activity compensation (replacement rate is increased from 93 to 95 percent).

From 2017 the guarantee compensation in sickness/activity compensation is proposed to be increased by 0,05% of the price base amount.

From 2017 higher child allowance for the 3th child is proposed, an increase of SEK 126.

From 2017 higher income limits (from SEK 117 000 to SEK 127 000) in housing benefits for families with children are proposed.

From 2017 higher norm for social assistance, all post within the norm are increased 1%.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969–1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.